

Growth looked like +137%. The real number was +40%.

How I found the \$4.4M hiding in the balance sheet — and why growing faster would have made it worse.

Fictional consumer-electronics retailer · synthetic data · real methodology

+137%

total revenue growth over 24 months.

But three of VoltEdge's four markets launched inside the window. Leadership needed to know if the business is actually growing — or if new-market expansion is just masking a flat core.

Split every growth number two ways: Total, and Comparable Base.

PRIMARY METRIC
Comparable Base — US-only, like-for-like, the one market live the whole window
GUARDRAILS
Contribution margin · cash conversion cycle · returns rate · promo-day gross profit

Why a raw year-over-year number would have been misleading.

294

SKUS

24

MONTHS

4

MARKETS

Growth is reported two ways because three of four markets go live inside the window — a raw YoY number would just be counting new geographies, not real growth.

+40%

US like-for-like growth — not the +137% total

Contribution margin just reached break-even. The real constraint isn't the P&L — it's a 134-day cash conversion cycle, with ~\$4.4M freeable from inventory alone.

Returns are a \$1.65M margin drag, and promo days cost ~\$0.3M/yr in gross profit.

Small next to the \$4.4M cash number — but real, and 63% of the returns drag is controllable.

Fix working capital before chasing more growth. \$4.4M beats every other lever.

Full methodology, numbers, and code — link in my Featured section.